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Uncovering a Rs. 88+ Crore governance breakdown across a multi-brand restaurant chain

A multi-brand restaurant chain's Senior Management and Investor Group engaged Sthiros for a forensic audit spanning FY 2017-18 to January 2024, examining fund utilisation and operational integrity across two group companies.



Client	Service	Sector	Geography
A Multi-Brand Restaurant Chain (Hospitality Sector)	**Forensic Audit, Fund Utilisation & Operational Review**	**Hospitality, Food & Beverage**	**India**

The Challenge:

When two Executive Directors control both the money and the check on it

This hospitality entity's day-to-day operational and financial management was entrusted entirely to two Executive Directors, spanning finance, vendor management, capital expenditure, and regulatory compliance. Concerns raised by Senior Management and the Investor Group led to a forensic audit examining whether funds had been used for their intended purposes.

Absence of Segregation of Duties

The Executive Directors controlled both invoice approval and bank payment authorisation, with no independent pre-payment validation.

Vendor Governance Vacuum

Rs. 87.86 Crores paid to 258 vendors without underlying contracts, Rs. 72.16 Crores of it to unorganised vendors.

Missing Invoices & Documentation

Rs. 6.72 Crores of Capex and non-recurring payments had no invoice or supporting documentation at all.

Revenue Leakage & System Discrepancies

POS-to-ERP reconciliation revealed a net revenue shortfall, compounded by complimentary meals extended without adequate controls.

Potential Fraud & GST Non-Compliance

ERP-booked invoices with no matching GSTR 2A entry, alongside GST-registered vendors directed to issue non-GST invoices.

Personal Enrichment by Executive Management

Executive Directors received expense reimbursements beyond salary, without adequate supporting documentation.

The Solution:

A six-phase forensic framework, financial and operational

Sthiros ran a structured forensic audit combining financial forensics with an operational deep-dive, examining governance, vendor payments, invoicing, revenue, executive disbursements, and fixed assets as one connected investigation.

Every finding was traced back to source documents, bank records, and system data, giving Senior Management an evidence base for decisive corrective action.

The forensic audit conducted by the team was thorough, data-driven, and brought to light critical governance failures and financial irregularities that had gone undetected for years. The findings have given us the clarity and evidence base we needed to take decisive corrective action. The structured approach and the depth of analysis across vendor payments, revenue reconciliation, GST compliance, and asset verification has been instrumental in reshaping our internal controls and governance framework.

The Methodology

1 Governance & Controls Assessment

Delegation of authority, bank portal access rights, and segregation of duties mapped across payment initiation, verification, and approval functions.

2 Vendor Payment Forensics

258 vendors classified as organised or unorganised, with legitimacy verified through social media presence and business location checks.

3 Invoice & GST Cross-Verification

ERP invoices cross-referenced against GSTR 2A to detect fictitious purchases and non-compliant invoicing by GST-registered vendors.

4 Revenue Reconciliation

End-to-end reconciliation of POS against ERP across every outlet and audit year, with trend analysis on complimentary meals as a percentage of sales.

5 Executive Fund Diversion Analysis

Every bank disbursement to Executive Directors beyond sanctioned salary traced, with supporting documentation reviewed for adequacy.

6 Asset Verification & Write-Off Review

Goods receipt processes and asset tagging controls evaluated, with fixed asset write-offs analysed for physically untraceable assets.

What This Means

One person shouldn't approve their own payment.

Reconcile POS against ERP, always.

Untraceable assets are a governance failure.

Outcomes

Rs. 87.86 Cr

Vendor payments without contracts

Paid to 258 vendors with no underlying contracts, Rs. 72.16 Cr of it to unorganised vendors.

Rs. 6.72 Cr

Capex payments with no invoice

Out of Rs. 11.06 Cr in Capex and non-recurring payments verified.

Rs. 2.50 Cr

Fictitious purchases flagged

ERP-booked invoices with no matching entry in GSTR 2A.

Rs. 47.05 L

POS-ERP revenue gap

Net shortfall uncovered through reconciliation across four financial years.

Get in touch

Is your governance framework tested, or just assumed?

Speak to Sthiros about what a structured forensic audit can unlock for your governance and controls.

Connect with us:
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